



Investor.gov
**U.S. SECURITIES AND
EXCHANGE COMMISSION**

High-yield Corporate Bonds

A high-yield corporate bond (</news-alerts/investor-bulletins/what-are-high-yield-corporate-bonds>) is a type of corporate bond (</investing-basics/investment-products/corporate-bonds>) that offers a higher rate of interest because of its higher risk of default. When companies with a greater estimated default risk issue bonds, they may be unable to obtain an investment-grade bond credit rating. As a result, they typically issue bonds with higher interest rates in order to entice investors and compensate them for this higher risk.

High-yield bond issuers may be companies characterized as highly leveraged or those experiencing financial difficulties. Smaller or emerging companies may also have to issue high-yield bonds to offset unproven operating histories or because their financial plans may be considered speculative or risky.

For additional information, please visit the following links.

Investor Bulletin: What are Corporate Bonds (</additional-resources/news-alerts/alerts-bulletins/what-are-corporate-bonds>)

Investor Bulletin: What are High-yield Corporate Bonds (</additional-resources/news-alerts/alerts-bulletins/what-are-high-yield-corporate-bonds>)

Investor Bulletin: Interest Rate Risk (/sites/investorgov/files/ib_interestraterisk.pdf)

MSRB Investor Guide 2012 (<http://www.msrb.org/Municipal-Bond-Market/Investor-Resources/Investor-Toolkit.aspx>)

Bond Funds and Income Funds (<http://www.sec.gov/answers/bondfunds.htm>)

Callable or Redeemable Bonds (<http://www.sec.gov/answers/callablebonds.htm>)

Financial Industry Regulatory Authority (FINRA) (<http://www.finra.org>)

Information on CUSIP numbers (<http://www.cusip.com>)

Late Payment of Interest on Bonds (<http://www.sec.gov/answers/bondint.htm>)

Municipal Securities Rulemaking Board (MSRB) (<http://www.msrb.org>)

MSRB Electronic Municipal Market Access (EMMA) (<http://emma.msrb.org/>)

The Securities Industry and Financial Markets Association (SIFMA) (<http://www.investinginbonds.org>)
